

Winding Tree

Winding Tree 2023: Tokenomics Update



Mokhi · Following

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Step into a world of ongoing innovation in a travel space! As we continue to shape the future of travel with blockchain technology, we are thrilled to share the latest progress on our protocol. With the foundational functionality and economics of our smart contract now published in the repository, our next checkpoint eagerly awaits: the captivating realm of protocol tokenomics. But before we dive into those exciting details, let's take a moment to explore the vision behind Winding Tree, a vision that has remained steadfast since 2016 to provide a place where:

- **Suppliers** will be able to sell their goods and services and get paid on time.
- **Verifiers** will provide services that guarantee suppliers' authenticity and compliance with industry standards. The travel industry, as an example, already has organizations like IATA, SITA, and HTNG, that basically perform KYB (know your business) checks on companies and issue them with credentials to access their systems.

- `Retailers` (e.g. travel agencies, service providers, etc) will be able to purchase goods and services from suppliers on behalf of and on customer request, making money on commission fees or by providing other services.
- `Customers` (buyers) will enjoy goods and services and a superior level of user experience.
- `Governor` will be able to manage the protocol smart contract code, configuration and validate/invalidate verifiers, and collects the protocol fee.
- `Judges` will be able to get profit from resolved disputes.

In the following table, you can review the stakeholders' requirements/incentivization/penalization approaches matched on the protocol **on-chain** lifecycle:

Transaction(s)	Suppliers	Verifiers	Retailers	Customers	DAO (governor)	Judges
Governance	- Sends verification request to a verifier - Pays a proper amount of LIF to the verifier for verification	- Sends verification request to DAO (creates proposal)			- Manages the protocol smart contract code (upgrades) - Manages the smart contract configuration - Approve minting of new LIFs to the "customers rewards" fund	
Registration / Invalidation	- Registers itself - Deposits a proper amount of LIF - Sends a LIF deposit withdrawal request (become disabled) - Disable itself - Become disabled if his LIF deposit balance is exhausted	- Registers itself - Deposits a proper amount of LIF - Sends a LIF deposit withdrawal request (become disabled) - Disable itself - Become disabled if his LIF deposit balance is exhausted	- Registers itself - Deposits a proper amount of LIF - Sends a LIF deposit withdrawal request (become disabled) - Disable itself - Become disabled if his LIF deposit balance is exhausted			
Verification		- Verifies suppliers or retailers - Invalidates suppliers or retailers - Pays verification fee with LIF to the DAO from its deposit balance			- Validates and verifies verifiers - Invalidates verifiers	
Deals creation			- Creates a deal on behalf of a customer and pays an offer price	- Creates a deal and pays an offer price		
Deals rejection	- Pays tx expenses - Pays a proper amount of LIF from its deposit as a rejection penalty			- Receives a full refund of the deal funds	- Receives "rejection fee" from the supplier	
Deals cancellation	- Receives full/part of the deal funds as defined by the offer	- Receives part of the protocol fee in stablecoins applied to the refunded part	- Receives part of the protocol fee in stablecoins applied to the refunded part	- Pays tx expenses - Receives a full/partial refund of the cancelled deal if this is allowed by the offer - Burns the deal NFT ownership (if the deal	- Receives part of the protocol fee in stablecoins applied to the refunded part	

Notes:

- invalidated `verifier` is not able to send any protocol transactions except for LIF deposit withdrawal
- invalidated `supplier` is able to send protocol transactions but will be marked as `non-verified`
- disabled `supplier` is not able to send any protocol transactions except for the LIF deposit withdrawal
- disabled or invalidated `retailer` cannot get his part of the protocol fee
- `insurance fund` of the verifier is split into two parts 50/50: verifiers reward and disputes resolution fund
- customers rewards are paid from the “customers rewards fund” managed by the DAO
- ongoing discussion on the inflation/deflation LIF model that will be improved in the upcoming weeks
- ongoing discussion on the possibility of using LIF tokens by customers to get price discounts

Stay tuned for more updates on our evolving tokenomics as we revolutionize the industry. Together, we'll shape the future of travel by empowering stakeholders and unlocking new possibilities. Exciting discussions on improving the LIF model and customer token benefits are just around the corner. Join us as we redefine travel with blockchain technology.

Sign up for our newsletter for more updates in the coming months 🎉

With love, *Winding Tree team!*

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